

Book Review on 'House of Debt' by Atif Mian and Amir Sufi

"How they (and you) caused the Great Recession, and how we can prevent it from happening again?" as the subheading of the book "House of Debt", Mian and Sufi raise the questions discussed by large amount of economists after 2008, but through a breaking-path approach. And those two questions reflect the authors' outline of writing the book: identify problems, analyze problems and solve the problems. If we rate the identify problem and analyze problem parts of the book as five-star, the authors' solution seems to be less feasible.

What happened to our economy and to the people? Other than describe the financial crisis on Wall Street, or the critical moment of Lehmann's fail, Mian and Sufi told a story about the ordinary people, a story of what happened to the workers of Monaco Coach Corporation. It's not the story told thousands of times that far away from our life. The authors use this "A Scandal in Bohemia" to tell you a story of how millions of people lost their jobs. Mian and Sufi addressed the blame on a sharp fall-off in consumption due to the unevenly distributed household debt with the risk embedded in it. From 2000 to 2006, mortgage-related debt grew twice faster in the neighborhood with low credit score than in the neighborhood with high credit score. This fact makes the economy more fragile when the housing bubble popped.

How did it happen? Before we ask that, there should be two questions that make the bubble possible:

1. Why lenders wanted to lend trillions of dollars, especially to the household with poor ability to repay?
2. Why so many household decided to increase their debt while housing price is rocket high?

For the first question, the authors provide us answers that investment banks issued the private label mortgage back securities focus on lower credit households who were less likely to afford, and the rating agencies played the tricks of making correlations assumption, making the risky bond triple A. Meanwhile, the Asia financial crisis force the investors in Asia seek for new safe financial products. So those mis-rated risky MBS and the fund from both Asia and domestic made the bubble possible. And what made it even more danger was the bubble was not distributed evenly among different wealth class, it concentrated on the poorest ones. And when crisis happened, the poor get poorer. For the second question, unfortunately, the authors did not give us more explanation, which need more analysis. I think the authors were trying to assume the people or ordinary consumers have the sense to make rational decisions here, meaning that they will eventually learn to choose the way that makes greater good. That assumption is even more obvious in the last three chapter of the book.

How did we make the recession more severe? The authors start with a discussion about securitization. Securitization has its positive role. It helps to improve liquidity and provides a link to connect investors and borrowers thousands of miles away. However, a misuse of

securitization might also spread the exotic risk much more widely. In the early 2000s, investment banks started to provide the exotic private label security by selling those triple-A rated mortgage-backed securities. Not surprisingly, the riskier debts are more likely to be securitized since the bank does not want to hold the risk.

But unlike other researchers, Mian and Sufi went one step further. They point out it was the uneven distribution made the situation worse. In their book, they show the credit increased the most in those counties with lower income, which is not the healthy way that credit and income grow together. It's actually a negative connection between debt and income. Continuing this trend, it's just a matter of time that the low-income households will end up failing to repay the loan, delinquent and foreclosure won't be far away from that.

Then, the authors give us the core concept of their "levered losses" framework. They argue that these foreclosures forced people to cut down spending sharply and this happened in around 2006, which should be the true start of the financial crisis. That is two years before Lehmann fail. The draw down in spending was amplified by the fact of the above mentioned uneven distribution of debt and the anti-insurance characteristic of the loan. Data in the book shows in the year 2008, even in counties that avoid the housing bubble still suffered a large percentage of decline in spending.

In the chapters talking about the reason behind the Great Recession, I found two things make the thesis more persuasive. One thing is the authors were trying to use data to support every argument. They use the detailed microeconomic data at zip-code level to analyze the debt and consumption behaviors, which provide the audience a easier way to understand their new "levered losses" theory and a deeper understanding of how those microeconomics factors affect the macro economy. Another good thing is the authors use some simple models, for example, the isolated islands model. It looks quite simple to come up with these models, but they actually require the ability to abstract the simple mechanism from a complex issue. By presenting the simple mechanism, and add new assumptions one at a time, they made the model more and more complex and bring the readers from the story to the reality step by step. And in that progress, you will understand the complex economics like reading a novel in a beach chair.

What did the government do during recession? After presenting their theory and the data about how the "levered losses" works in the first seven chapters, the authors come to the solution part. In every academic book, not only for economics, the authors would like to use the same scheme: what people did or currently do, why they are wrong, I have a better solution.

In this book, the authors follow the same way. They pin the blame on the policy to protect the bank. Data shows there is no obvious correlation between save the banks and save the economy. And the monetary policies they used were not performing well as expected. The attempt of inflation ended with a huge jump of bank reserves. Even helicopter drops of money won't help much. In another word, without a restructuring debt, monetary policy won't cure or prevent the recession.

So what should we do? Mian and Refi provide us a new financial product called Share Risk Mortgage (SRM). To be honest, I felt less convinced by the prescription with one single new product to cure the economy once for all. Despite the obvious arbitrage opportunity of this product, which can be done by swapping houses and pushing the house price down to zero. They make assumptions about "Investors are the wealthiest household in the economy, and therefore the sector that should be most willing to bear risk as long as they are properly compensated." Which I don't feel I could agree on. In the real world, more than enough evidences have shown that the capital is greedy. There is no reason for the wealthiest to give up the protection on their investment, even though it has the potential to lead to an economic recession. As I said, this part is the weakest part of the book, which supposed to be the most important one. The authors' failure to meet a feasible solution tells us it is hard to understand the situation clearly, and it will be much harder for you to come up with a solution even you understand it well. Not to mention the difficulties of execution after you get a good plan.